

ADVANCE PRICING AGREEMENT REQUEST

Unilateral advance tax agreement under paragraph 29a of the Abgabenordnung

Proposed intra-group term loan facility, Luxembourg to India

Applicant: Meridian Lux Finance S.à r.l., Luxembourg

Addendum to: Transfer Pricing Local File, Forgeline Industries Pvt. Ltd., financial year ended 31 March 2026

Document type	Request for an advance tax agreement (unilateral advance pricing agreement) in respect of a proposed controlled financing transaction
Legal basis	Paragraph 29a of the Abgabenordnung; Grand-Ducal Regulation of 23 December 2014; Circular LIR n° 56/1 - 56bis/1 of 27 December 2016
Applicant	Meridian Lux Finance S.à r.l. ("MLF" or "the Applicant"), Luxembourg
Counterparty	Forgeline Industries Pvt. Ltd. ("Forgeline"), India
Transaction	Proposed EUR 50,000,000 senior unsecured term loan facility ("Facility B")
Expected signing	First quarter 2027. Single drawdown on 1 April 2027.
Tax years for which confirmation is sought	Luxembourg tax years 2027, 2028, 2029 and 2030
Date of request	30 September 2026
Companion document	Transfer Pricing Local File, Forgeline Industries Pvt. Ltd., FY2026, dated September 2026
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Status	Illustrative study. Not a client deliverable and not filed with any tax authority. See Section 1.4.

This document is an independent illustrative study prepared for portfolio and professional development purposes. The entities named are fictional. The financial data underlying the analysis is real and is sourced from published audited financial statements, as explained in the companion Local File at Section 3.3.

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1. Purpose and Basis of the Request

1.1 What is requested

The Applicant requests an advance tax agreement confirming that the transfer pricing methodology described in Section 6 of this request produces an arm's length interest rate for the proposed intra-group term loan described in Section 3, and that an interest rate determined in accordance with that methodology will be accepted for the tax years identified in Section 9.

The confirmation sought is a confirmation of methodology and of an arm's length range. It is not a confirmation of a fixed interest rate. The facility is to be drawn on 1 April 2027 and priced by reference to a market reference rate observable only at that date. The reason a methodology rather than a rate is the appropriate subject of the request is set out at Section 7.2.

Summary of what is requested

1. That the Comparable Uncontrolled Price method, applied as set out at Section 6, is the most appropriate method for pricing Facility B.
2. That an interest rate constructed as the EUR three-year reference rate at the pricing date plus a credit spread of between 70 and 89 basis points falls within the arm's length range.
3. That the Applicant, on the functional profile described at Section 5, is entitled to retain the full risk-adjusted return on the facility.
4. That the confirmation applies for Luxembourg tax years 2027 to 2030 inclusive, subject to the critical assumptions at Section 8.

1.2 Legal basis

Luxembourg does not operate a dedicated statutory advance pricing agreement programme. A unilateral advance pricing agreement is obtained as an advance tax agreement, being a decision anticipée under paragraph 29a of the Abgabenordnung as introduced by the Law of 19 December 2014, with the procedure and content requirements prescribed by the Grand-Ducal Regulation of 23 December 2014. A request is addressed to the tax office competent for the taxpayer and is referred to the Commission des décisions anticipées for opinion.

Where the request concerns intra-group financing activities, Circular LIR n° 56/1 - 56bis/1 of 27 December 2016 prescribes additional content. The substantive arm's length standard is that in Articles 56 and 56bis of the Luxembourg Income Tax Law, interpreted consistently with Chapter X of the OECD Transfer Pricing Guidelines.

A draft law numbered 8186 proposes a dedicated advance pricing agreement procedure at a new paragraph 29c of the Abgabenordnung, together with a framework for bilateral and multilateral agreements. That draft has not been enacted. This request is accordingly made under paragraph 29a as it presently stands.

1.3 Relationship to the FY2026 Local File

This request is an addendum to the Transfer Pricing Local File prepared for Forgeline Industries Pvt. Ltd. for the financial year ended 31 March 2026 ("the Local File"). That document analyses an existing EUR 50,000,000 facility drawn on 1 April 2025 ("Facility A") and concludes that an interest rate of 2.831 per cent, being a EUR three-year reference rate of 2.051 per cent plus a credit spread of 78 basis points, is arm's length.

The present request adopts the delineation, functional analysis, rating methodology and benchmarking work performed in that document rather than repeating it. Each section below cross-refers to the

supporting section of the Local File. A complete cross-reference table is at Appendix 1. The two documents are intended to be read together.

1.4 Illustrative nature of this document

This document is an independent illustrative study prepared for portfolio and professional development purposes. It has not been filed with the Administration des contributions directes or with any other authority, and no advance tax agreement exists or is pending in respect of the transactions described. It does not represent the position of any actual taxpayer and makes no assertion about the tax affairs of any real company.

The entities named are fictional. The borrower's financial profile is taken from the audited FY2025 consolidated financial statements of Bharat Forge Ltd., a company listed on the National Stock Exchange of India, as explained at Section 3.3 of the Local File.

1.5 Why the request concerns a proposed facility and not the existing one

Paragraph 29a permits an advance decision only in respect of a situation that has not yet produced its effects. A decision cannot be obtained in respect of a transaction that has already been entered into and has already given rise to a tax consequence.

Facility A was drawn on 1 April 2025 and has produced interest deductions and corresponding income from FY2026 onwards. It is therefore outside the scope of paragraph 29a and cannot be the subject of this request. No retroactive coverage of Facility A is sought, and none would be available. The consequences of that limitation, and the route that would be taken if certainty on Facility A were required, are set out at Section 9.3.

The request accordingly concerns Facility B, a proposed second facility that has not yet been entered into. Facility B is materially identical to Facility A in principal, currency, tenor, ranking, security and covenant package, which is what allows the analysis performed for Facility A to be carried across. The differences are the drawdown date and, consequently, the reference rate at which the facility will price.

2. The Applicant

2.1 Identity, residence and fiscal year

Legal name	Meridian Lux Finance S.à r.l.
Legal form	Société à responsabilité limitée, an ordinary fully taxable Luxembourg holding and financing company (SOPARFI)
Registered office	Luxembourg
Tax residence	Luxembourg, and Luxembourg alone. The Applicant is not treated as resident in any other jurisdiction under the domestic law of that jurisdiction or under any tax treaty.
Place of effective management	Luxembourg
Accounting and tax year	Calendar year ending 31 December
Taxes concerned	Corporate income tax and municipal business tax
Activity	Intra-group financing. The Applicant is the dedicated finance company of the group and holds and deploys group treasury funds.

2.2 Group structure and beneficial ownership

The Applicant and the borrower are wholly owned, directly or indirectly, by the same ultimate parent entity. The borrower is not a shareholder of the Applicant and the Applicant is not a shareholder of the borrower. The two are therefore associated enterprises within Article 9 of the OECD Model Tax Convention and within Section 92A of the Indian Income-tax Act 1961, by reason of common control rather than direct participation.

The group structure, the identity of the ultimate parent, the chain of intermediate holdings and the identity of the ultimate beneficial owners would be set out in full in an actual request, together with a structure chart, in accordance with the Grand-Ducal Regulation and with the identification requirements of Circular 56/1. They are omitted here because the entities are fictional.

2.3 Jurisdictions concerned

The jurisdictions concerned by the proposed transaction are Luxembourg, as the jurisdiction of the lender, and India, as the jurisdiction of the borrower. The relationship between the two is governed by the India-Luxembourg Double Taxation Avoidance Agreement as modified by the Multilateral Convention to Implement Tax Treaty Related Measures to Prevent Base Erosion and Profit Shifting.

3. The Proposed Transaction

3.1 Commercial context

Forgeline is an Indian manufacturer of forgings and electric-vehicle components. Facility A funded the first phase of a capacity expansion programme. Facility B is proposed to fund the second phase of the same programme, comprising further plant and equipment investment at the same sites.

The Applicant proposes to advance the funds from group treasury resources on the terms set out below. As with Facility A, the facility will constitute an External Commercial Borrowing for the purposes of Indian exchange control regulation.

3.2 Proposed terms

Term	Proposed detail
Lender	Meridian Lux Finance S.à r.l., Luxembourg
Borrower	Forgeline Industries Pvt. Ltd., India
Principal	EUR 50,000,000
Currency	EUR
Purpose	Capital expenditure, being the second phase of the capacity expansion programme
Signing	First quarter 2027, in any event before drawdown
Drawdown	Single drawdown in full on 1 April 2027
Tenor	Three years from drawdown, maturing 31 March 2030
Repayment	Bullet repayment of principal at maturity
Interest basis	Fixed for the life of the facility, payable semi-annually in arrears, set at the pricing date in accordance with Section 6
Pricing date	The last business day preceding drawdown
Ranking	Senior unsecured, pari passu with the borrower's other unsecured and unsubordinated financial indebtedness
Security	None
Guarantees and credit support	None. No guarantee, keep-well agreement, letter of comfort or other credit enhancement is to be provided by the ultimate parent or by any other group entity.
Prepayment	Permitted at par on thirty days' notice, without prepayment premium
Default interest	Contractual rate plus 200 basis points on overdue amounts
Arrangement, commitment or facility fees	None

3.3 Covenant package

The facility will carry the covenant package applied to Facility A and described at Section 5.3 of the Local File, comprising a negative pledge, a cross-default provision, information undertakings, a change of control provision and a restriction on disposals outside the ordinary course of business. The package is consistent

with senior unsecured corporate debt extended to an investment grade borrower. Its presence is a comparability factor in the benchmarking carried across at Section 6.5.

3.4 Indian exchange control position

Facility B will be raised under the Indian External Commercial Borrowings framework in the Foreign Exchange Management (Borrowing and Lending) Regulations as amended in 2026. The position is as follows and is unchanged from that analysed at Section 13.3 of the Local File.

Requirement	Position for Facility B
Eligible borrower	Forgeline is an Indian entity registered under central law and is an eligible borrower under the framework as broadened in 2026.
Recognised lender	The Applicant is a person resident outside India and qualifies as a recognised lender under the broadened 2026 definition.
Minimum average maturity period	The three-year tenor meets the standard minimum average maturity period. The facility would in any event fall within the manufacturing sector carve-out permitting one to three years for outstanding amounts up to USD 150 million.
Borrowing limit	EUR 50,000,000 is well within the unified limit of the higher of USD 1 billion outstanding or 300 per cent of net worth.
Pricing	The framework applies a prevailing market conditions standard rather than a prescribed all-in-cost ceiling. A rate determined under Section 6 is consistent with that standard.
Registration and reporting	A Loan Registration Number is to be obtained before drawdown and monthly Form ECB-2 returns filed through the authorised dealer bank.

The regulatory position is relevant to this request because it bears on the options realistically available to the borrower. Facility B is a transaction Forgeline could lawfully have entered into with an unrelated lender on the same terms. The tenor reflects a commercial choice and is not a structure imposed by regulatory constraint.

4. Accurate Delineation of the Proposed Transaction

Chapter X, Section B of the OECD Transfer Pricing Guidelines requires that a purported loan between associated enterprises be accurately delineated before it is priced. The delineation analysis performed for Facility A at Section 6 of the Local File is re-performed on the proposed terms of Facility B and reaches the same conclusion. The analysis is summarised below.

4.1 Economic characteristics and debt indicators

Indicator	Position for Facility B
Fixed maturity date	Present. Three years, maturing 31 March 2030.
Obligation to pay interest	Unconditional and not contingent on the borrower's profitability.
Conversion or equity features	None.
Right to enforce payment	The Applicant has the rights of a creditor in respect of principal and interest.
Ranking	Senior unsecured, ranking with and not behind ordinary unsecured creditors.
Financial covenants	Present. See Section 3.3.
Source of debt service	The borrower's operating cash flow.
Use of funds	Capital expenditure, a bona fide business purpose consistent with debt funding.
Leverage against industry norms	Pro forma total debt to EBITDA remains within the same rating band. See Section 5.5 of the Local File.
Capacity to service the debt	EBIT interest coverage of 4.36x on the most recent audited accounts.

4.2 Options realistically available

From the Applicant's perspective, the realistic alternatives to Facility B are placing the funds with a third party, lending to another group entity, or lending to Forgeline on the proposed terms. A rate determined under Section 6 gives the Applicant a return consistent with third-party placements at comparable risk, so the transaction is a commercially rational deployment of group treasury funds rather than one entered into only because of the group relationship.

From the borrower's perspective, the realistic alternatives are third-party borrowing under the External Commercial Borrowings route, an equity injection from the parent, or deferring the second phase of the expansion. On an investment grade standalone credit profile, third-party debt is realistically available at a comparable credit spread. That is established by the benchmarking evidence at Section 10.4 of the Local File rather than assumed.

4.3 Conclusion on delineation

Delineation conclusion

The instrument is accurately delineated as debt in its entirety. No part of the principal of EUR 50,000,000 falls to be recharacterised as equity, and the pricing analysis at Section 6 proceeds on the full principal amount.

5. The Applicant's Functional Profile, Substance and Equity

This section addresses the matters which Circular 56/1 requires a request concerning intra-group financing to cover. It establishes that credit risk on the facility can properly be allocated to the Applicant, which is the condition on which the Applicant's entitlement to a risk-adjusted return depends.

5.1 Functions, assets and risks

Element	The Applicant	The borrower
Sourcing and deployment of funding	Performed	Not performed
Credit assessment of the counterparty	Performed	Not applicable
Approval of the facility	Performed by the board in Luxembourg	Performed by the board in India
Ongoing monitoring of the exposure	Performed	Not applicable
Covenant compliance and reporting	Monitored	Performed
Assets employed	Financial capital, held at risk for the term	Tangible manufacturing assets acquired with the proceeds
Credit risk	Borne, controlled and financially supported	Not applicable
Interest rate risk	Borne. The rate is fixed for the term.	Not applicable
Currency risk	Not borne	Borne. Euro obligation serviced partly from rupee revenues.
Liquidity risk	Borne. Funds committed for a fixed term with no right to demand early repayment.	Not applicable

5.2 Substance conditions under Circular 56/1

Circular 56/1 requires that a Luxembourg financing company have genuine substance in Luxembourg, evidenced rather than asserted. The Applicant confirms that the following conditions are satisfied at the date of this request and undertakes that they will be satisfied throughout the period for which confirmation is sought. Continued satisfaction is a critical assumption of this request, recorded at Section 8.2 as assumption CA5.

Condition	Position of the Applicant
Qualified personnel able to manage and control the transactions	The Applicant has available to it personnel with the competence to perform credit assessment and monitoring. Qualifications and duties would be evidenced in an actual request.
Key decisions taken in Luxembourg	Decisions on the extension, monitoring and enforcement of the facility are taken by the Applicant's management in Luxembourg and minuted accordingly.

Condition	Position of the Applicant
Majority of directors resident in Luxembourg, or non-resident directors taxable in Luxembourg on their directorship income	Satisfied. Evidenced by board composition and the tax status of each director.
Not tax resident in another jurisdiction	Satisfied. The Applicant's place of effective management is in Luxembourg.
Own bank account	Satisfied. The Applicant maintains its own bank account through which the facility will be funded and serviced.
Equity commensurate with the risks assumed	Addressed at Section 5.3.

These conditions are not a formality standing apart from the pricing analysis. If the Applicant lacks the capability to control credit risk, that risk cannot be allocated to it under Chapter I, Section D.1.2.1 of the OECD Guidelines, and the Applicant's entitlement falls to a risk-free return with the residual allocated to the party that does control the risk. That is why the substance conditions appear as a critical assumption rather than as background.

5.3 Equity at risk

Circular 56/1 removed the previous mechanical threshold, under which equity at risk was set at 1 per cent of the nominal value of the loans granted subject to a cap of EUR 2 million. Adequate equity is now determined by a substantive analysis of the risks actually assumed.

The relevant exposure is credit risk on a EUR 50 million senior unsecured three-year facility to an investment grade borrower. An indicative computation on that basis is set out below. The inputs are indicative and would be replaced in an actual request by the current published agency default and recovery studies and by an assessment of the Applicant's aggregate portfolio exposure.

Input	Indicative value	Basis
Exposure at default	EUR 50,000,000	Facility principal, bullet repayment, no amortisation
Borrower rating at the pricing date	A2 / A equivalent	Section 6.3 and Section 9.4 of the Local File
Cumulative three-year probability of default	0.30%	Indicative, for the A rating category. To be substituted with the current published agency cumulative default study.
Loss given default, senior unsecured	60%	Indicative. To be substituted with the current published recovery study.
Expected loss	EUR 90,000	$50,000,000 \times 0.30\% \times 60\%$
Multiple applied to derive unexpected loss	10x	Judgemental, standing in for an economic capital measure. Stated as a judgement rather than as a computed figure.
Indicative equity at risk	EUR 900,000	Expected loss multiplied by the factor above

For comparison, the former mechanical threshold would have produced a figure of EUR 500,000, being 1 per cent of the nominal value of the facility. The analytical figure is the higher of the two. That is the practical effect of the 2016 change: a financing company can no longer satisfy the requirement by reference to a formula, and on this fact pattern the formula would have understated the equity required.

The Applicant will maintain equity at not less than the level determined on this basis for the duration of the facility. That undertaking is recorded as critical assumption CA6.

5.4 Entitlement to the return and non-election of the simplification measure

On the functional profile at Section 5.1, the Applicant exercises control over credit risk and has the financial capacity to bear it. Under Chapter X it is accordingly entitled to the full risk-adjusted return on the facility, being the interest received less its own cost of funding, rather than to a risk-free return or to a service fee.

The simplification measure is not elected

Circular 56/1 provides a simplification under which a Luxembourg company performing purely intermediary financing transactions may be accepted as arm's length where it earns a minimum after-tax return on the assets financed. The Applicant does not elect that simplification and does not rely on it.

The Applicant is not a pure intermediary. It deploys group treasury funds, performs credit assessment and monitoring, exercises decision-making authority over the extension and enforcement of credit, and bears the exposure against its own equity. A financing entity performing genuine risk-bearing functions falls outside the intermediary simplification and requires the full analysis set out in this request.

It follows that the exchange of information which attaches to an election of the simplification measure does not arise on that ground. The separate exchange obligation applicable to cross-border advance tax agreements is addressed at Section 10.3.

6. Proposed Transfer Pricing Methodology

This section sets out the methodology the Applicant proposes for confirmation. It is the methodology applied to Facility A in the Local File, restated as a forward-looking pricing rule capable of being applied at a future pricing date.

6.1 Method selected

Method	Considered	Conclusion
Comparable Uncontrolled Price	Yes	Selected. Debt markets produce observable prices for instruments that can be matched to the tested transaction on currency, tenor, seniority, security and credit quality, which are the factors that drive pricing in those markets.
Cost of funds approach	Yes	Not selected. It would price the facility by reference to the Applicant's own funding cost rather than to the borrower's credit risk, and would not reflect what an independent lender would charge this borrower.
Credit default swap spreads	Yes	Not selected. No liquid single-name reference exists for the borrower, and the instrument is not economically equivalent to a loan.
Economic modelling	Yes	Not selected. Chapter X treats it as appropriate only where market data is unavailable, which is not the case here.
Transactional net margin method and profit split	Yes	Not selected. Neither is suited to pricing a single financial instrument.

6.2 Tested party

The borrower is the tested party. The price to be tested is the interest rate charged to the borrower, and the comparability factors that determine that rate are attributes of the borrower and of the instrument rather than of the lender. This is consistent with the approach taken at Section 8.3 of the Local File.

6.3 The rating step

The borrower's credit quality is assessed by a ratio-based synthetic rating. The EBIT interest coverage ratio is computed from the borrower's audited consolidated financial statements for the financial year immediately preceding the pricing date, and mapped to a rating and an associated default spread using the published rating-to-default-spread table reproduced at Appendix B of the Local File.

Two adjustments were considered in the Local File and are not applied under the proposed methodology, for the reasons given there.

Adjustment	Applied	Reason
Uplift for implicit support	No	The standalone rating is already investment grade. The borrower is creditworthy on its own financial merits, and an uplift would require a judgement that is neither necessary to support the conclusion nor readily evidenced. Declining the uplift produces the higher rate and is therefore the position less favourable to the borrower's deduction in India, which makes it the more readily defensible position. See Section 9.5 of the Local File.

Adjustment	Applied	Reason
Country risk notch-down	No	The instrument is euro denominated and priced off a euro benchmark, so Indian domestic rate levels are not imported. A sovereign ceiling notch-down is not applied, and the omission is recorded as a methodological limitation at Section 15.2 of the Local File. It is noted that a notch-down would widen rather than narrow the spread.

On the most recent audited figures, being those for the financial year ended 31 March 2025, EBIT interest coverage is 4.36x, which maps to A2 / A equivalent with an associated default spread of 78 basis points. Leverage metrics of 2.49x total debt to EBITDA and 0.72x total debt to equity are consistent with that conclusion.

6.4 The reference rate step

The risk-free component is the euro area yield curve spot rate for central government bonds of issuers rated triple A, at the maturity corresponding to the tenor of the facility, observed on the pricing date.

Element	Specification
Source	European Central Bank Data Portal, euro area yield curve, government bonds rated AAA, spot rate
Series key	YC.B.U2.EUR.4F.G_N_A.SV_C_YM.SR_3Y
Maturity	Three years, corresponding to the tenor of the facility
Observation date	The pricing date, being the last business day preceding drawdown
Rounding	Stated to three decimal places

The European Central Bank deposit facility rate is not used. It is an overnight policy rate and is not a three-year risk-free benchmark. The distinction is drawn expressly because the two are frequently conflated, and using the deposit facility rate would have produced a materially different and incorrect result. See Section 11.1 of the Local File.

6.5 The spread step and its corroboration

The credit spread is the default spread associated with the rating derived at Section 6.3. That spread is corroborated against observable market pricing for instruments matched to the tested transaction on the comparability criteria set out at Section 10.1 of the Local File, being issuer rating within the A3 to A1 band, euro denomination, a tenor of two to four years, senior unsecured ranking, no security, no guarantee, a non-financial corporate issuer and a bullet structure.

The search performed for Facility A examined 158 instruments across 24 European corporate issuers and produced two accepted comparables. The closer of the two on every comparability factor, a three-year euro senior unsecured issue by an A-rated non-financial corporate priced seven days after the pricing date, priced at 79.4 basis points against a derived spread of 78 basis points, a difference of 1.4 basis points.

Why the corroboration matters to this request

The rating-to-spread mapping used at Section 6.3 is derived principally from United States market data. That is a recognised limitation of the method. The market evidence gathered for Facility A tests whether the limitation bites at the A rating level in the euro market, and on the evidence available it does not.

The Applicant proposes that the same corroboration be performed at the Facility B pricing date, and that where the derived spread and the market evidence diverge materially the market evidence takes

precedence. That precedence rule is part of the methodology submitted for confirmation.

6.6 The methodology proposed for confirmation

PROPOSED METHODOLOGY

The interest rate on Facility B is to be fixed for the life of the facility at R, where:

$$R = B + S$$

B is the EUR three-year reference rate, being the European Central Bank euro area AAA government bond yield curve three-year spot rate, series YC.B.U2.EUR.4F.G_N_A.SV_C_YM.SR_3Y, observed on the pricing date.

S is the credit spread, being the default spread associated with the rating produced by mapping the borrower's EBIT interest coverage ratio for the financial year immediately preceding the pricing date to the published rating-to-default-spread table at Appendix B of the Local File, with no uplift for implicit support and no country risk notch-down, and corroborated against market observations meeting the criteria at Section 6.5.

Confirmation is sought that R, so determined, is an arm's length interest rate, provided S falls within the range of 70 to 89 basis points.

6.7 Worked illustration

The methodology is illustrated below on the data that applied at the Facility A pricing date of 31 March 2025. The illustration is given so that the operation of the formula can be seen. It is not the rate proposed for Facility B, which cannot be known until the 2027 pricing date.

Step	Input	Value
1	EBIT interest coverage, most recent audited year	4.36x
2	Rating band into which that ratio falls	4.25x to 5.50x
3	Rating	A2 / A equivalent
4	Associated default spread, being S	78 bps
5	Uplift for implicit support	Nil
6	Country risk notch-down	Nil
7	Market corroboration, closest-matched observation	79.4 bps, a difference of 1.4 bps
8	EUR three-year reference rate on the pricing date, being B	2.051%
9	Interest rate R, being B plus S	2.831%

7. Proposed Arm's Length Range

7.1 The range proposed

Confirmation is sought that a credit spread within the range set out below falls within the arm's length range. The range is constructed from the rating sensitivity of the derived spread, the adjacent rating bands supplying its bounds.

Rating band	Spread	Circumstance in which it applies
A1 / A+	70 bps	Applies if interest coverage for the preceding year falls between 5.50x and 6.50x, or if a one-notch uplift for implicit support were adopted
A2 / A	78 bps	The central case. Applies if interest coverage falls between 4.25x and 5.50x, as it does on the most recent audited figures.
A3 / A-	89 bps	Applies if interest coverage falls between 3.00x and 4.25x, as it would have done on the figures for the year before last, or if a one-notch country risk deduction were applied
Proposed range	70 to 89 bps	The range for which confirmation is sought

A movement of one rating notch in either direction moves the spread by approximately 8 to 11 basis points, which on a facility of EUR 50 million equates to approximately EUR 40,000 to EUR 55,000 of annual interest. The conclusion is therefore not hypersensitive to a single-notch rating judgement, and the central case sits between two defensible alternative positions rather than at the edge of the range.

7.2 Why a range and a methodology rather than a fixed rate

A fixed rate cannot properly be the subject of this request, for two reasons.

First, the risk-free component is not knowable at the date of the request. Facility B is to be drawn on 1 April 2027 and the three-year euro reference rate on that date cannot be observed in September 2026. A request that specified a rate would either bind the parties to a rate that had ceased to reflect market conditions by the time the facility was drawn, or would require a fresh request once the rate was known, by which time the transaction would be imminent.

Second, transfer pricing conclusions are properly expressed as a range rather than as a point, because independent parties transacting in comparable circumstances would not all agree an identical price. Confirming a single figure would attribute to the arm's length principle a precision it does not have.

Confirming a methodology and a range addresses both points. It gives the Applicant certainty as to how the rate will be determined, which is the certainty it needs in order to commit the funds, while leaving the rate itself to be set by reference to conditions observable at the time the facility is actually entered into. This is the ordinary function of an advance pricing agreement on a financing transaction.

7.3 Mechanism for setting the rate at drawdown

The Applicant proposes the following mechanism, and that it form part of the terms of the agreement.

Step	Action	Timing
1	The borrower's audited consolidated financial statements for the financial year immediately preceding the pricing date are obtained and the EBIT interest coverage ratio computed	Before the pricing date
2	The ratio is mapped to a rating and a default spread S in accordance with Section 6.3	Before the pricing date

Step	Action	Timing
3	S is corroborated against market observations meeting the criteria at Section 6.5, the market evidence taking precedence where it diverges materially	Before the pricing date
4	The reference rate B is observed from the specified series on the pricing date and recorded together with the observation	Pricing date
5	The rate R equal to B plus S is fixed in the loan agreement and does not vary thereafter	Drawdown
6	A memorandum recording each of steps 1 to 5, with the underlying data, is prepared and retained, and is available to the Administration on request	Within thirty days of drawdown

Step 6 is proposed by the Applicant rather than required of it. Its purpose is to make the application of the confirmed methodology verifiable after the event, so that the Administration can satisfy itself that the rate actually applied was the rate the methodology produces. The Applicant considers this preferable to a position in which the methodology is confirmed but its application is undocumented.

8. Critical Assumptions

8.1 Function of the critical assumptions

Critical assumptions are the conditions of fact and law on which the confirmation sought is predicated. They define the boundary of the agreement. If a critical assumption fails, the agreement ceases to apply to the periods affected, because the transaction as implemented is no longer the transaction that was analysed.

The assumptions below are drawn narrowly and each is stated so that it can be tested against an observable fact. An assumption expressed in general terms, such as an assumption that market conditions do not change materially, is of little use to either party because it cannot be shown to have been met or breached. Each assumption below is paired with the consequence of its failure.

8.2 The assumptions proposed

Ref	Critical assumption	Consequence if it fails
CA1	The borrower's EBIT interest coverage ratio, computed from the audited consolidated financial statements for the financial year immediately preceding the pricing date, falls between 3.00x and 6.50x.	The spread produced by the methodology falls outside the confirmed range of 70 to 89 basis points. The methodology may still be the correct one, but the range confirmed does not cover the result, and a fresh request is required.
CA2	The borrower remains a wholly owned subsidiary within the same group and the Applicant remains the group financing company. Neither ceases to be an associated enterprise of the other.	A change in ownership affects the implicit support analysis and the basis on which no uplift is applied. The confirmation ceases to apply from the date of the change.
CA3	The terms of Facility B as set out at Sections 3.2 and 3.3 are unchanged at signing and throughout the term, in particular the principal, currency, tenor, ranking, absence of security and covenant package.	The comparability basis of the benchmarking no longer holds. Any grant of security, subordination, extension of maturity or material amendment to the covenant package terminates the confirmation in respect of the periods affected.
CA4	No group entity provides a guarantee, keep-well agreement, letter of comfort or other credit enhancement in respect of Facility B.	Explicit credit support would change the credit risk actually borne and would require the rating and spread analysis to be re-performed. The confirmation ceases to apply.
CA5	The Applicant continues to satisfy each of the substance conditions at Section 5.2 throughout the period covered.	Credit risk cannot be allocated to the Applicant under Chapter I, Section D.1.2.1. The Applicant's entitlement falls to a risk-free return and the residual is allocated elsewhere. The confirmation ceases to apply.
CA6	The Applicant maintains equity at risk at not less than the level determined on the basis at Section 5.3, assessed at each year end.	Equity insufficient to absorb the loss associated with the exposure would result in part of the return being reallocated away from the Applicant notwithstanding the contractual terms.
CA7	Facility B remains compliant with the Indian External Commercial Borrowings framework as to lender eligibility, minimum average maturity and registration, and no regulatory requirement compels a change to its tenor or pricing.	A regulatory constraint that forces a change to the terms changes the transaction analysed. The confirmation ceases to apply to the periods affected.

Ref	Critical assumption	Consequence if it fails
CA8	There is no material change to Articles 56 or 56bis of the Luxembourg Income Tax Law, to Circular LIR n° 56/1 - 56bis/1, to Chapter X of the OECD Transfer Pricing Guidelines, or to the India-Luxembourg tax treaty, in any respect bearing on the methodology.	A change in law is in any event a statutory ground on which an advance decision ceases to bind. The assumption is stated so that the point is on the record rather than left to be argued later.
CA9	The European Central Bank yield curve series specified at Section 6.4 and the rating-to-default-spread table specified at Section 6.3 remain published and available on the same basis.	If either is discontinued or its basis of construction changes, a substitute of equivalent character is to be agreed with the Administration before the pricing date. The methodology is otherwise unaffected.
CA10	The facts set out in this request are complete and accurate at the date of the request and remain so at signing and at drawdown.	The advance decision does not bind the Administration where the circumstances described prove inaccurate or incomplete, or where the transaction implemented differs from the transaction described.

8.3 Notification

The Applicant undertakes to notify the Administration in writing within thirty days of becoming aware that any critical assumption has failed or is likely to fail, and to do so before drawdown where the failure occurs before that date. The Applicant proposes that on such a notification the parties consider whether the agreement can be revised rather than treating it as terminated, since a revision preserves the analytical work already accepted and is likely to be less burdensome for both parties than a fresh request.

9. Proposed Term, and the Position on Retroactive Effect

9.1 Term requested

Element	Position
Statutory maximum	Five tax years
Term requested	Four tax years, being Luxembourg tax years 2027, 2028, 2029 and 2030
First period covered	The tax year in which drawdown occurs, being 2027
Last period covered	The tax year in which the facility matures, being 2030
Life of the facility	1 April 2027 to 31 March 2030

9.2 Why four years and not five

The facility has a defined life of three years running from 1 April 2027 to 31 March 2030, which spans four Luxembourg tax periods. A fifth year would cover a period in which the facility no longer exists and in respect of which there would be nothing for the agreement to apply to.

There is also a reason of substance for not requesting the maximum available. Every year of coverage is a year for which each of the critical assumptions at Section 8.2 must continue to hold. Requesting a period longer than the transaction increases the number of assumptions that must be maintained without conferring any corresponding certainty. The Applicant considers it preferable to request coverage matched to the life of the transaction and, if a further facility is entered into, to make a fresh request in respect of it.

9.3 Retroactive effect and rollback

No rollback is sought, and none is available

A unilateral advance tax agreement under paragraph 29a has no retroactive effect. The provision permits a decision only in respect of a situation that has not yet produced its effects, so a decision cannot extend backwards to cover a transaction already entered into. There is no rollback mechanism in the Luxembourg unilateral procedure, and this request does not seek one.

The practical consequence for this group is stated plainly. Facility A, drawn on 1 April 2025, cannot be covered. Whatever confirmation is obtained in respect of Facility B, the pricing of Facility A remains exposed to challenge in the ordinary way, supported by the documentation in the Local File but by no advance agreement.

This may be contrasted with the position in India, where the advance pricing agreement programme under Sections 92CC and 92CD of the Income-tax Act 1961 expressly permits rollback to as many as four preceding years. A group operating across the two jurisdictions therefore faces asymmetric options: the Indian side of the same transaction can be covered retrospectively, the Luxembourg side cannot.

9.4 The unilateral character of the confirmation sought

A confirmation obtained under paragraph 29a binds the Luxembourg administration only. It does not bind the Indian tax authority and gives the borrower no protection in respect of the deductibility of the interest in India. If the Indian authority were to conclude that a lower rate was arm's length, the result would be economic double taxation on the difference, which the Luxembourg confirmation would not relieve and might in practice make harder to resolve.

The Applicant is aware of this limitation and accepts it. The reasoning is set out so that the choice is on the record.

Route	Availability	Assessment
Unilateral advance tax agreement, Luxembourg	Available under paragraph 29a	Sought. Gives Luxembourg-side certainty on the Applicant's return within a timeframe compatible with a first-quarter 2027 signing.
Bilateral advance pricing agreement, Luxembourg and India	No formal domestic programme. The competent authority may conclude one on the basis of Article 25(3) of the treaty, with the procedure in Circular L.G. - Conv. D.I. n° 601 of 11 March 2021.	Not sought at this stage. It is the route that would eliminate the double taxation exposure and, combined with the Indian rollback provisions, could reach back over Facility A. It is not pursued because the timeline is not compatible with the signing date and because the pricing of Facility A is corroborated by a closely matched market observation, so the exposure is judged acceptable.
Mutual agreement procedure after the event	Available under Article 25 of the treaty	Held in reserve. It remains available if an adjustment is in fact proposed in either jurisdiction.
Dedicated statutory procedure under draft law 8186	Proposed at a new paragraph 29c, not enacted	Not available. If enacted, it would provide a domestic framework for bilateral and multilateral agreements and would be the preferable route for any future facility.

10. Procedural and Compliance Matters

10.1 Filing

The request is addressed to the tax office competent for the Applicant, being the bureau d'imposition sociétés of the Administration des contributions directes, for referral to the Commission des décisions anticipées. It is submitted in writing before the transaction to which it relates is entered into, as paragraph 29a requires.

10.2 Fee

The Grand-Ducal Regulation of 23 December 2014 provides for a fee of between EUR 3,000 and EUR 10,000, fixed by reference to the complexity of the request and the time required to handle it. A request concerning a transfer pricing methodology for a cross-border financing transaction is ordinarily assessed at or near the upper end of that range. The fee is payable whether or not the decision sought is granted.

10.3 Exchange of information

A decision granted on this request would be a cross-border ruling within Council Directive (EU) 2015/2376, and its key particulars would be communicated automatically to the tax administrations of the other Member States through the central directory maintained by the Commission.

India is not a Member State and would not receive the decision through that channel. It could receive it on spontaneous exchange under Article 26 of the India-Luxembourg treaty or under the Convention on Mutual Administrative Assistance in Tax Matters. The Applicant notes for completeness that the analysis presented here is consistent with the position documented by the borrower in India in the Local File, and that consistency between the two is a matter the group manages deliberately rather than incidentally.

10.4 Binding effect and circumstances in which it falls away

A decision granted under paragraph 29a binds the Administration in respect of the taxpayer and the transaction described. It ceases to bind in the following circumstances.

Circumstance	Effect
The circumstances described in the request prove inaccurate or incomplete	The decision does not bind the Administration.
The transaction as implemented differs materially from the transaction described	The decision does not apply to the transaction as implemented.
A critical assumption at Section 8.2 fails	The decision ceases to apply to the periods affected.
The decision is found to conflict with Luxembourg, European Union or international tax law	The decision ceases to bind.
The law changes in a respect bearing on the decision	The decision ceases to bind from the date the change takes effect.
The period covered expires	The decision ceases to apply after Luxembourg tax year 2030.

10.5 Renewal

The Applicant will apply for a renewal or a fresh decision if a further facility is proposed, or if the group wishes coverage to continue beyond tax year 2030. Any such application will be made before the transaction concerned is entered into.

10.6 Statement of completeness

Statement

The Applicant confirms that the facts and circumstances set out in this request are, to the best of its knowledge and belief, complete and accurate; that the transaction described has not been entered into and has not produced any effect at the date of this request; that no request concerning the same transaction has been made to the Administration or withdrawn; and that the Applicant will notify the Administration of any change to the facts described, or failure of any critical assumption, before drawdown or within thirty days of becoming aware of it, whichever is earlier.

Signed for and on behalf of Meridian Lux Finance S.à r.l.

Date: 30 September 2026

11. Summary of the Request

Matter	Position	Reference
Instrument	Proposed EUR 50,000,000 senior unsecured three-year bullet term loan, Luxembourg lender to Indian borrower, drawdown 1 April 2027	Section 3
Delineation	Debt in its entirety. No part recharacterised as equity.	Section 4
Lender's functional profile	Controls credit risk and has the financial capacity to bear it. Entitled to the full risk-adjusted return.	Section 5.1, 5.4
Simplification measure	Not elected. The Applicant is not a pure intermediary.	Section 5.4
Equity at risk	Determined analytically. Indicative figure of EUR 900,000, above the EUR 500,000 the former mechanical threshold would have produced.	Section 5.3
Method	Comparable Uncontrolled Price	Section 6.1
Tested party	The borrower	Section 6.2
Rating	Ratio-based synthetic rating from EBIT interest coverage. No implicit support uplift, no country risk notch-down. A2 / A equivalent on the most recent audited data.	Section 6.3
Rate construction	R equals B plus S, where B is the EUR three-year AAA reference rate on the pricing date and S is the rating-derived spread, corroborated against market observations	Section 6.6
Range for which confirmation is sought	A credit spread of 70 to 89 basis points over the reference rate	Section 7.1
Term requested	Luxembourg tax years 2027 to 2030 inclusive, being four years against a statutory maximum of five	Section 9.1
Rollback	Not sought and not available. Paragraph 29a has no retroactive effect.	Section 9.3
Bilateral coverage	Not sought at this stage. The unilateral decision does not bind India and does not relieve double taxation.	Section 9.4
Critical assumptions	Ten, each with a stated consequence of failure	Section 8.2

Appendix 1. Reconciliation to the FY2026 Local File

Each substantive element of this request is supported by analysis performed in the companion Local File. The table below identifies where. Elements that are new to this request, having no counterpart in the Local File, are marked accordingly.

Section of this request	Supporting section of the Local File	Status
2. The Applicant	Sections 4.1, 12.1	Carried across
3.2 Proposed terms	Section 5.2	Carried across, with drawdown and maturity dates changed
3.3 Covenant package	Section 5.3	Carried across unchanged
3.4 Indian exchange control position	Sections 6.5, 13.3	Carried across unchanged
4. Accurate delineation	Sections 6.1 to 6.6	Carried across and re-performed on the proposed terms
5.1 Functions, assets and risks	Sections 7.1 to 7.4	Carried across unchanged
5.2 Substance conditions	Section 12.2	Carried across, and restated as a continuing undertaking
5.3 Equity at risk	Section 12.3	Extended. The Local File sets out the framework; this request adds an indicative computation and the comparison to the former threshold.
5.4 Entitlement and non-election	Sections 12.4, 12.5	Carried across unchanged
6.1 Method selected	Sections 8.1, 8.2	Carried across unchanged
6.2 Tested party	Section 8.3	Carried across unchanged
6.3 The rating step	Sections 9.1 to 9.6	Carried across, restated as a forward-looking rule
6.4 The reference rate step	Section 11.1	Carried across, restated as a forward-looking rule
6.5 The spread step and corroboration	Sections 10.1 to 10.6	Carried across, with the precedence rule stated expressly
6.6 Methodology proposed	Sections 11.1 to 11.3	New. The Local File prices one facility; this request states the pricing rule.
7.1 Proposed range	Section 11.2	Carried across unchanged
7.3 Mechanism at drawdown	No counterpart	New
8. Critical assumptions	No counterpart	New. Critical assumptions are a feature of an advance agreement, not of a Local File.
9. Term and retroactive effect	Section 13.4	New. The Local File records that no agreement exists; this request addresses what one can and cannot cover.

Section of this request	Supporting section of the Local File	Status
10. Procedural matters	Section 14	Extended to the Luxembourg advance decision procedure

Appendix 2. Rating Band Sensitivity

The table reproduces the relevant extract of the rating-to-default-spread mapping at Appendix B of the Local File, showing the bands that bound the range for which confirmation is sought and the bands immediately outside it.

Interest coverage from	Interest coverage to	Rating	Default spread	Within the proposed range
2.50x	2.999x	Baa2 / BBB	1.11%	No
3.00x	4.249x	A3 / A-	0.89%	Yes, lower bound
4.25x	5.499x	A2 / A	0.78%	Yes, central case
5.50x	6.499x	A1 / A+	0.70%	Yes, upper bound
6.50x	8.499x	Aa2 / AA	0.55%	No

The proposed range of 70 to 89 basis points corresponds to an interest coverage ratio of between 3.00x and 6.50x. Critical assumption CA1 is drawn to that band, so that the assumption and the range are defined by reference to the same figures rather than independently. On the most recent audited data the ratio is 4.36x, which sits near the middle of that band.

Appendix 3. Illustrative Interest Computation

Computed on the worked illustration at Section 6.7, being the data that applied at the Facility A pricing date. The purpose is to show the magnitude of the amounts to which the confirmation would relate and the sensitivity of those amounts to the bounds of the proposed range. These are not the amounts that will arise on Facility B.

Case	Spread	Reference rate	All-in rate	Annual interest on EUR 50,000,000
Upper bound of the range, A1 / A+	70 bps	2.051%	2.751%	EUR 1,375,563
Central case, A2 / A	78 bps	2.051%	2.831%	EUR 1,415,563
Lower bound of the range, A3 / A-	89 bps	2.051%	2.941%	EUR 1,470,563
Spread of the range, in interest terms	19 bps		0.190%	EUR 95,000

The range for which confirmation is sought therefore corresponds to a difference of approximately EUR 95,000 in annual interest, or EUR 285,000 over the three-year life of the facility. That is the quantum of the uncertainty the confirmation would remove on the Luxembourg side.

Appendix 4. Sources and Legal References

Luxembourg

Instrument	Relevance
Paragraph 29a, Abgabenordnung, as introduced by the Law of 19 December 2014	Statutory basis for an advance tax decision. Prospective effect only.
Grand-Ducal Regulation of 23 December 2014	Procedure, content requirements, referral to the Commission des décisions anticipées, and the fee of EUR 3,000 to EUR 10,000
Articles 56 and 56bis, Luxembourg Income Tax Law	Statutory arm's length principle and the comparability and delineation rules
Circular LIR n° 56/1 - 56bis/1 of 27 December 2016	Intra-group financing: substance conditions, equity at risk, content of a financing request, and the intermediary simplification measure
Circular L.G. - Conv. D.I. n° 601 of 11 March 2021	Mutual agreement procedure, and the basis on which a bilateral agreement may be concluded
Paragraph 171(3), Abgabenordnung	Duty to cooperate, under which transfer pricing documentation is produced on request
Draft law 8186, proposed paragraph 29c	Proposed dedicated advance pricing agreement procedure. Not enacted.
Council Directive (EU) 2015/2376	Automatic exchange of information on cross-border rulings

OECD

Instrument	Relevance
OECD Transfer Pricing Guidelines, Chapter I, Section D.1.2.1	Analysis of risk, control over risk and financial capacity to assume risk
OECD Transfer Pricing Guidelines, Chapter VII, paragraph 7.13	Passive association and incidental benefits of group membership
OECD Transfer Pricing Guidelines, Chapter X	Financial transactions: delineation, credit rating, implicit support, risk-free and risk-adjusted returns
OECD Transfer Pricing Guidelines, Annex to Chapter IV	Guidelines for conducting advance pricing arrangements under the mutual agreement procedure
Article 9, OECD Model Tax Convention	Associated enterprises and the arm's length principle
Article 25(3), OECD Model Tax Convention	Competent authority basis for a bilateral advance pricing agreement

India

Instrument	Relevance
Sections 92 to 92F, Income-tax Act 1961	Domestic transfer pricing provisions applicable to the borrower
Sections 92CC and 92CD, Income-tax Act 1961	Advance pricing agreement programme, including rollback for up to four preceding years

Instrument	Relevance
Section 94B, Income-tax Act 1961	Limitation on interest deduction on borrowings from non-resident associated enterprises
India-Luxembourg Double Taxation Avoidance Agreement, as modified by the Multilateral Instrument	Allocation of taxing rights over interest, withholding cap, mutual agreement procedure and principal purpose test
Foreign Exchange Management (Borrowing and Lending) Regulations, as amended 2026	External Commercial Borrowings framework: eligible lenders, minimum average maturity, pricing and reporting

Market data

Source	Use
European Central Bank Data Portal, euro area AAA government bond yield curve, three-year spot rate, series YC.B.U2.EUR.4F.G_N_A.SV_C_YM.SR_3Y	The reference rate component B
Published rating-to-default-spread mapping for large non-financial corporates, reproduced at Appendix B of the Local File	The credit spread component S
Bond reference data for European corporate issuers, being issue date, coupon, currency, maturity and issue volume	Market corroboration of the derived spread
Bharat Forge Ltd., audited consolidated financial statements for the year ended 31 March 2025	The borrower's financial profile, as explained at Section 3.3 of the Local File

End of document.